

Bill Spencer

From: Ryan Brown
Sent: Wednesday, July 12, 2017 8:32 AM
To: Adam Fyall; Bill Spencer; Ken Spencer; David Sparks
Cc: Shon Small; Jim Beaver; Jerome Delvin; Adam Morasch; Loretta SmithKelty; Sam Schneider; Keith Mercer; Matt Rasmussen; Tammy McKeirnan
Subject: RE: PILT Change -- House Energy and Water PILT language

Adam, Bill, Ken and David,

I recommend that Adam follow this development closely and advise whether it passes or not. Whether the committee's demands would help or hurt local taxing districts in Benton County is uncertain at this time. The statement about how to calculate PILT payments is merely a recitation of current federal law, so if DOE has been acting consistent with the law then all sites including ours would not be affected. However, it does appear that different sites have received different treatment from DOE over the decades, so it is difficult to determine based on the limited information we have exactly what the result of the committee's demands would be.

As I said, Adam should follow this closely and keep us all up to date.

Ryan

From: Adam Fyall
Sent: Wednesday, July 12, 2017 7:12 AM
To: Ryan Brown <Ryan.Brown@co.benton.wa.us>; Bill Spencer <Bill.Spencer@co.benton.wa.us>; Ken Spencer <Ken.Spencer@co.benton.wa.us>; Adam Morasch <Adam.Morasch@co.benton.wa.us>; David Sparks <David.Sparks@co.benton.wa.us>; Loretta SmithKelty <Loretta.SmithKelty@co.benton.wa.us>; Sam Schneider <Sam.Schneider@co.benton.wa.us>; Keith Mercer <Keith.Mercer@co.benton.wa.us>; Matt Rasmussen <Matt.Rasmussen@co.benton.wa.us>; Tammy McKeirnan <Tammy.McKeirnan@co.benton.wa.us>
Cc: Shon Small <Shon.Small@co.benton.wa.us>; Jim Beaver <Jim.Beaver@co.benton.wa.us>; Jerome Delvin <Jerome.Delvin@co.benton.wa.us>
Subject: FW: PILT Change -- House Energy and Water PILT language

Forwarded, is an interesting message received yesterday from the Energy Communities Alliance executive director, Seth Kirshenbergl. I don't think any of us were aware that something like this was afoot, but I'm also not surprised. The action taken in the bill, if enacted, could fundamentally change the way USDOE PILT is handled nationwide. Seth asked me in a follow-up if this would be "good or bad for the county", and I'm not sure how to answer that just yet because the anticipated outcomes could be looked at a few different ways.

I asked Congressman Newhouse's local staff if he could look into who added the language to the bill. As I suspected it was Mike Simpson of Idaho who is the chair of the House Energy & Water Committee where this bill is being marked-up this morning. Chairman Simpson was the one who briefly held-up our PILT reprogramming request last year, asking questions about why Idaho communities got so little in the way of PILT compared with Hanford. I suspect Simpson wants to make sure we have "PILT equity" across the nation, and I think that's probably a good thing.

More later.

Adam

Adam J. Fyall

Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: Seth Kirshenberg [<mailto:sethk@energyca.org>]

Sent: Tuesday, July 11, 2017 10:07 AM

To: Adam Fyall <Adam.Fyall@co.benton.wa.us>; Rick McLeod <Rick.McLeod@srsco.org>; smithltc@gmail.com;
[Steve C Young@rl.gov](mailto:Steve_C_Young@rl.gov); ron.woody@roanecountytn.gov; rjt@robertjthompsonlawoffice.com;
afitzgerald@oakridgetn.gov; pamlarsen33@att.net; PBrown@CI.RICHLAND.WA.US; dossward4@live.com;
MWatson@oakridgetn.gov; CKillian@aikencountysc.gov; harry.burgess@lacnm.us; linda.matteson@lacnm.us;
Rick.L.Reiss@gmail.com; bealseth@yahoo.com; Burgess, Harry <harry.burgess@lacnm.us>; 'David Reeploeg
(dreeploeg@tridec.org)' (dreeploeg@tridec.org) <dreeploeg@tridec.org>; 'Cash Jaszczak' <cashjaz@gmail.com>
Cc: Kara Colton <Kara.Colton@energyca.org>; Megan Casper <MeganC@Energyca.org>; Dylan Kama
<Dylank@energyca.org>

Subject: PILT Change -- House Energy and Water PILT language

The House Energy and Water Bill includes the following in the Committee Report. I am not sure this is positive and we may want to find out who added this to the bill. This would terminate all of your PILT agreements and require new agreements bases on the original assessment amount. *"DOE shall terminate all existing PILT agreements and enter into new PILT agreements that are consistent across all eligible sites and are in compliance with the requirement that payments are not made in excess of the taxes that would have been payable for such property in the condition in which it was originally acquired"*

The committee mark-up is tomorrow at 10:30 am –

PAYMENTS IN LIEU OF TAXES

Payments in Lieu of Taxes (PILT) is a program for discretionary financial assistance that DOE may provide that is subject to the availability of funds. While DOE may not make payments for most of the property in its possession, the Congress provided authorization for payments to specific properties acquired by the Atomic Energy Commission in the Atomic Energy Act of 1954. While that authority is broad to allow for special circumstances, the statute also provides clear direction that the Department shall be guided by the policy of not making payments in excess of the taxes that would have been payable for such property in the condition in which it was acquired, except in the case of special burdens. The formulas used by DOE to determine what payments it will make are not transparent, are not interpreted consistently across all sites, and no longer appear to be consistent with the intent of Congress as stated in the authorization language. Because of the inconsistencies, payments to individual recipients may be as little as \$1,000 or as much as \$6,000,000. After an investigation of the program in

the 1990s, the Government Accountability Office (GAO) substantiated claims from some communities that DOE's policy was not being equitably applied and described how DOE had changed basic assumptions in how it would calculate payments on a case-by-case basis.

Because the Department has deviated so substantially from its authorization basis over time, the Committee directs the Department to undertake a full overhaul of the program. After reasonable notice has been given in the Federal Register, DOE shall terminate all existing PILT agreements and enter into new PILT agreements that are consistent across all eligible sites and are in compliance with the requirement that payments are not made in excess of the taxes that would have been payable for such property in the condition in which it was originally acquired. Not later than 360 days after the enactment of this Act, the Department shall provide to the Committees on Appropriations of both Houses of Congress a report that describes the terms and payment amounts for each new PILT agreement and certifies that the terms of each agreement and calculations for payments are consistent across all eligible sites and with the statutory policy direction.

The Committee further directs the Comptroller General to undertake an assessment of DOE's PILT program to examine: (1) which communities have received payments and in what amounts; (2) how payment amounts were determined by DOE; (3) the extent to which agreements differ across sites; (4) the consistency of adjustments made to payments that reduce or increase amounts paid; and (5) whether DOE has made substantive changes to its payment policy or individual agreements since the issue was last examined by the GAO.

Full conference report is located at <https://appropriations.house.gov/uploadedfiles/hrpt-115-hr-p2.pdf>

This E-mail message is confidential, is intended only for the named recipients above and may contain information

that is privileged, attorney work product or otherwise protected by applicable law. If you have received this message in error, please notify the sender at 402-346-6000 and delete this E-mail message.

Thank you.